

Problem Statement

Team PR · GKHack26 · Kasi and Street Economy

South Africa's informal traders -- spaza shops, builders and other informal businesses -- run their business on phone calls, WhatsApp messages, cash and a notebook. A spaza owner restocks from a wholesaler and pays a driver in cash; a builder buys materials and gets paid by a client in stages; none of it leaves a record that both sides accept. So suppliers can't reconcile cash, builders and clients argue over what was paid, and the trader can't prove the business is real.

The scale is large. The township economy is worth about R900 billion a year, R180 billion of it through spaza shops, yet about 80% of township businesses are unregistered, fewer than 9% can get a bank loan and 57% survive on personal savings (Standard Bank, 2025). Informal work is about a third of all jobs in South Africa, and Stats SA now defines an informal business partly by whether it keeps records at all. When government opened a R500 million Spaza Shop Support Fund, only R179.6 million had reached 2,369 shops by May 2026: 354 applications failed verification (non-existent businesses, ownership mismatches) and only 58% of applicants held a valid licence (DSBD, 2026). Real traders can't prove themselves, and fake ones slip in.

1. Who

Informal traders in South African townships: spaza shop owners (trade is 48.2% of informal businesses), informal builders and trades (plumbers, electricians, painters), and other informal businesses -- plus the wholesalers they buy from and the clients who pay builders.

2. What

Business runs on calls, WhatsApp, cash and a notebook, with no record both sides accept. Orders, cash payments and stage payments can't be confirmed by both sides, which leads to disputes; nothing proves the business trades, so it can't reach credit, support funds or better supplier terms; suppliers can't reconcile what drivers collect.

3. Where

South African townships: at the spaza counter, on building sites, on the phone and WhatsApp, and at the door when stock, work and cash change hands. We start in Limpopo (Mankweng, Polokwane) and Gauteng (Ga-Rankuwa, Soshanguve, Tembisa).

4. Why it matters at scale

- R900 billion township economy; R180 billion through spaza shops.
- About a third of South Africa's jobs are informal (half for people aged 15-24).
- About 80% of township businesses are unregistered; fewer than 9% can get a bank loan; 57% are self-funded.
- Even funded help can't reach them: R179.6 million of a R500 million fund deployed, because verification fails in both directions.
- Late payment and non-payment is a chronic problem even in formal construction; informal builders have no contract to fall back on.

5. Evidence

- **Standard Bank, Township Informal Economy Report 2025:** R900bn economy; spaza about R180bn; ~80% unregistered; <9% bank loans; 57% self-funded; 49% operate from a home or garage; >56% prefer EFT (ready for digital payment).
- **Stats SA:** trade is 48.2% of informal businesses (2023, down from ~70% in 2001) as construction and services grow; informal jobs are about a third of employment; from Q3 2025 an informal business is defined partly by whether it keeps records for tax purposes.
- **DSBD and dtic, May 2026:** R179.6m approved for 2,369 shops from the R500m Spaza Shop Support Fund; 354 applications failed verification (non-existent businesses, ownership discrepancies, applicant vs operator mismatches); only 58% linked to a valid licence or permit.
- **Construction payment studies (formal sector, South Africa):** 89% of surveyed practitioners agree (63%) or strongly agree (26%) that late and non-payment is chronic.

Sources

- Standard Bank, 80% of township businesses unregistered (Township Informal Economy Report 2025): standardbank.co.za/southafrica/news-and-media/newsroom/80-percent-of-township-businesses-unregistered-reveals-standard-bank-inaugural-informal-economy-report
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